

Forecasting & Budget Intelligence Policy

Document ID: FIN-FP-001 | Effective: June 27, 2026 | Version: 1.0 | Classification: Internal

APPROVED — ACTIVE

1. Purpose & Scope

This policy establishes the standards, methodologies, and governance for AI-assisted financial forecasting, budgeting, and planning across TechCorp. It ensures that AI-driven projections are transparent in their assumptions, validated by human finance professionals, and never substituted for the judgment and accountability of department leaders and the Finance Department.

This policy applies to all Finance Department FP&A personnel, department heads who contribute forecasts and budget inputs, and any personnel in **Sales**, **Operations**, or **HR** whose pipeline, headcount, or operational data feeds into enterprise planning models. It operates alongside the **Financial AI Governance Policy (FIN-AI-001)**.

2. AI Platform Integration

The Finance Department's FP&A function uses the Enterprise AI Platform's forecasting and planning module, with data inputs sourced from every department through integrations managed by the **IT Department**. Core integrations include:

- **Predictive Forecasting Engine** — AI-driven time-series modeling across revenue, expenses, and cash flow, ingesting historical actuals, **Sales** pipeline data, **Operations** procurement forecasts, and **HR** headcount plans to generate rolling forecasts with explicit confidence intervals.
- **Scenario Modeling Workbench** — AI-assisted what-if analysis allowing FP&A to model revenue, cost, and macroeconomic scenarios, with each scenario preserving its assumption set for auditability and comparison.
- **Budget Collaboration Hub** — Department-level budget input portal where department heads submit and justify budget requests; AI pre-validates against historical spend patterns, strategic plan alignment, and financial constraints before FP&A review.
- **Variance Intelligence Module** — AI analyzes budget-to-actual variances across all cost centers, generating narrative explanations and identifying

persistent forecast bias patterns for FP&A attention.

Connected Departments: Sales (pipeline & revenue forecast input) • Operations (procurement & capacity forecast) • HR (headcount & compensation planning) • IT (planning system infrastructure) • AI (forecast model accuracy & safety) • Engineering (product roadmap & resource forecasting)

3. Permitted AI-Assisted Planning Activities

Activity	AI Role	Human Oversight Required
Revenue forecasting	Time-series modeling & pipeline-weighted projection	FP&A analyst validates assumptions; Sales leadership reviews pipeline inputs
Expense forecasting	Trend extrapolation & seasonality adjustment	Cost center owner reviews and approves department-level projections
Scenario modeling	Multi-variable simulation & impact calculation	FP&A lead selects scenarios for presentation; CFO approves scenario assumptions
Budget input validation	Historical comparison & policy compliance check	Department head certifies budget submission; FP&A reviews AI flags
Variance analysis	Automated calculation & narrative drafting	FP&A analyst reviews and finalizes variance explanations
Cash flow projection	Receivables/payables pattern modeling	Treasury manager validates assumptions and approves final projection

4. Prohibited Activities

The following are strictly prohibited under this policy:

- **Publishing AI-generated forecasts as final without FP&A review and CFO approval.** Every forecast distributed to the board, investors, or external stakeholders must reflect human-reviewed assumptions and FP&A validation of the AI's output.
- **Using AI forecasts to automatically adjust budgets or spending authorities.** AI projections are inputs to human decisions. Budget adjustments, hiring approvals, and spending commitments must follow the established approval chain regardless of AI forecast signals.

- **Feeding material non-public information into external forecasting tools.** All AI-assisted forecasting must use the approved Enterprise AI Platform tenant; uploading financial projections to consumer-grade or third-party AI tools is prohibited.
- **Suppressing or excluding unfavorable AI-generated scenarios from board reporting.** All material scenarios, including downside cases, must be presented. Cherry-picking favorable AI outputs while hiding adverse projections is a violation of this policy and professional ethics standards.
- **Department heads bypassing the Budget Collaboration Hub for offline submissions.** All budget inputs must be submitted through the approved platform for audit trail capture and AI validation.

5. Forecast Methodology & Data Standards

All forecasting and budgeting activities must comply with TechCorp's **AI Safety Guidelines** (AI Department) and the **Financial Controls & Audit Trail Policy (FIN-CTL-001)**. Methodology requirements include:

- Every forecast must document: the model version, input data sources and date ranges, key assumptions (growth rates, conversion rates, seasonality factors), confidence intervals, and the reviewing FP&A analyst.
- Forecasts must include a comparison to at least one alternative scenario (upside/downside) to frame the range of possible outcomes; single-point forecasts without range context are insufficient for decision-making.
- Budget inputs from departments must reference the department's strategic plan and include justification for material variances from historical run rates; AI flags submissions exceeding variance thresholds for FP&A review.
- Rolling forecasts are updated monthly with actuals from the financial data warehouse; forecast accuracy is measured and reported quarterly with root-cause analysis for deviations exceeding 10% at the department level.
- All forecast versions are preserved in the planning module with full audit trail; changes to assumptions after a forecast is published require a documented re-forecast with the rationale recorded.

6. Planning Quality Standards

FP&A personnel and department heads must adhere to TechCorp's **Prompt Engineering Standards** when using AI for planning. Planning-specific requirements include:

- Forecast prompts must specify the forecast horizon, granularity (monthly/quarterly), entity scope, and any known one-time events that the AI should account for.

- Scenario modeling prompts must include the variable being changed, the magnitude range, and the dependent variables the AI should recalculate; each scenario must be independently reproducible.
- Variance analysis prompts must include the actual result, the forecasted value, the variance magnitude, and the time period for the AI to generate meaningful contextual explanations.
- All FP&A prompt templates must be version-controlled, approved by the FP&A Lead, and stored in the department's shared prompt library with usage guidance for each template.
- Forecast model accuracy is benchmarked quarterly; systematic forecast bias exceeding 5% in any category triggers a model calibration review with the AI Department.

7. Roles & Responsibilities

Role	Responsibility
Chief Financial Officer (CFO)	Final approval of all board-facing forecasts and budgets; forecast assumption sign-off; accountability for forecast accuracy and integrity.
FP&A Lead	Forecast methodology ownership; AI forecast model calibration; scenario selection for executive review; variance analysis quality; FP&A prompt template governance.
FP&A Analysts	Forecast preparation and assumption documentation; AI output validation; variance analysis and narrative drafting; budget input review and consolidation.
Department Heads (all)	Budget input submission through the Budget Collaboration Hub; forecast assumption contribution for their domain; variance explanation for their cost centers.
Sales Leadership	Pipeline data accuracy for revenue forecasting; deal probability assessment; revenue forecast input certification quarterly.
HR Department	Headcount plan and compensation forecast inputs; hiring plan updates for expense forecasting; organizational change impacts on budget baselines.
IT Department	Planning platform infrastructure; data pipeline integrity from source systems to forecasting engine; Budget Collaboration Hub access management.
AI Department	Forecast model performance monitoring; scenario modeling engine accuracy; predictive model bias detection; planning AI prompt standards.

8. Incident Response

Any of the following constitutes a forecasting or planning incident and must be reported within the timeframe specified:

- Material error in a published AI-generated forecast — report within 2 hours to the FP&A Lead and CFO; corrected forecast published; affected stakeholders notified; root-cause analysis within 5 business days.
- AI forecast model producing systematically biased outputs — FP&A Lead notified immediately; model taken offline for review; historical forecasts re-validated; AI Department investigation initiated within 24 hours.

- Unauthorized access to or modification of forecast data — report within 1 hour to Security, IT, and the FP&A Lead; access revoked; audit trail reviewed; forecast integrity verified before next publication.
- Budget input data corruption or loss — IT notified within 30 minutes; restore from backup; affected department heads notified; submission deadlines adjusted if necessary.
- External disclosure of internal forecasts before approved release — report within 1 hour to CFO, Legal, and Security; disclosure impact assessed; regulatory implications reviewed by Legal.

All planning incidents are logged in the platform's incident management module. Incidents involving externally published forecasts require Legal assessment of disclosure obligations within 24 hours. Post-incident review involving FP&A, AI Department, and affected stakeholders is mandatory within 10 business days.

9. Training & Compliance

- All FP&A personnel must complete the AI-Assisted Financial Planning & Forecasting certification within 60 days of onboarding and recertify annually.
- Department heads submitting budget inputs must complete the Budget Collaboration & AI Forecasting Awareness training before their first planning cycle.
- Sales leadership must complete the Revenue Forecasting Data Quality module covering pipeline hygiene, probability calibration, and AI forecast input standards.
- Quarterly forecast accuracy reviews are conducted by FP&A with each department; persistent forecast bias is addressed through calibration adjustments or training interventions.
- Non-compliance with this policy, including submission of unapproved budgets or suppression of adverse scenarios, is subject to the progressive discipline framework administered by HR.

10. Review & Revision

This policy is reviewed every 6 months by the CFO, FP&A Lead, and Financial Controller, with input from the Sales Department (for revenue forecasting inputs and pipeline data quality), HR Department (for headcount and compensation planning inputs), Operations Department (for procurement and capacity forecast alignment), IT Department (for planning platform infrastructure), and AI Department (for forecast model performance and bias monitoring). Revisions are versioned, approved by the

CFO, and synchronized with the annual planning cycle to ensure policy updates are effective before the next budget season. Emergency revisions triggered by material forecast failures follow an accelerated 14-day review cycle.

Referenced Policies: Financial AI Governance Policy (FIN-AI-001) • Financial Controls & Audit Trail Policy (FIN-CTL-001) • AI Safety Guidelines (AI Department) • Prompt Engineering Standards (AI Department) • Data Protection Standards (Security Department) • IT Access Management Policy (IT Department)